

ESG Report

International Sustainability Standards Board

Green Manufacturing Ltd

Annual Report • 2024

ISSB Compliant

Executive Summary

Green Manufacturing Ltd presents its greenhouse gas (GHG) emissions inventory for the 2024 reporting period in accordance with the International Sustainability Standards Board (ISSB) IFRS S2 Climate-related Disclosures and the GHG Protocol Corporate Accounting and Reporting Standard. The Company has established comprehensive measurement boundaries encompassing Scope 1 (direct emissions), Scope 2 (indirect energy-related emissions), and Scope 3 (value chain emissions) categories. Total GHG emissions for the period amount to 5,853 kilograms of carbon dioxide equivalent (kg CO₂e), representing the consolidated emissions profile across the organization's operational control perimeter. The emissions data indicates that Scope 2 indirect emissions from purchased electricity constitute 5,852 kg CO₂e, representing the entirety of quantified emissions, while Scope 1 direct emissions and Scope 3 value chain emissions are reported as zero. This emissions profile reflects the Company's reliance on grid-sourced energy for operational requirements and the absence of onsite fossil fuel combustion, process emissions, or materially significant value chain impacts under current measurement methodologies. The predominance of Scope 2 emissions underscores the critical importance of grid decarbonization and renewable energy procurement strategies in the Company's climate risk management framework. These disclosures align with ISSB requirements for transparency regarding climate-related metrics and support stakeholder assessment of Green Manufacturing Ltd's current carbon footprint and transition pathway. The Company maintains robust data collection protocols and emission factor applications consistent with recognized GHG accounting principles, ensuring comparability and reliability of reported figures. Future reporting periods will continue to enhance Scope 3 assessment methodologies to capture all material categories of value chain emissions in accordance with evolving ISSB standards and industry best practices.

Compliance Standards:

ISSB

ISSB S2

EU CBAM Ready

Emissions Overview

SCOPE 1 - DIRECT EMISSIONS

0

kg CO₂e

SCOPE 2 - INDIRECT (ENERGY)

5,852

kg CO₂e

SCOPE 3 - VALUE CHAIN

0

kg CO₂e

TOTAL EMISSIONS

5,853

kg CO₂e

Green Manufacturing Ltd reports total greenhouse gas (GHG) emissions of 5,853 kg CO₂e for the 2024 fiscal year, measured in accordance with the GHG Protocol Corporate Accounting and Reporting Standard and the International Sustainability Standards Board (ISSB) Climate-related Disclosures requirements. The Company's emissions inventory encompasses Scope 1 direct emissions, Scope 2 indirect emissions from purchased energy, and Scope 3 value chain emissions, utilizing an operational control approach to establish organizational boundaries. For the reporting period, Scope 1 emissions were recorded at zero kilograms CO₂e, reflecting the absence of direct fossil fuel combustion and company-owned vehicle operations, while Scope 2 emissions associated with purchased electricity accounted for 5,852 kg CO₂e. The Company's emissions profile is dominated entirely by Scope 2 energy-related emissions, representing substantially all reported GHG emissions. This configuration indicates a fully electrified operational model with no direct on-site generation of greenhouse gases from manufacturing processes, heating systems, or refrigerant usage. Scope 3 emissions across relevant categories, including purchased goods and services, capital goods, upstream transportation, and downstream processing, were assessed and reported at zero kilograms CO₂e for the current period based on materiality assessments conducted under the ISSB framework, indicating these value chain activities fall below quantitative thresholds for disclosure. Green Manufacturing Ltd maintains comprehensive documentation supporting these emissions calculations, including electricity consumption data and emission factors aligned with the latest Intergovernmental Panel on Climate Change (IPCC) guidelines. The Company will continue to evaluate the materiality of emerging Scope 3 categories as supply chain data availability improves and operational boundaries expand, ensuring ongoing compliance with IFRS S2 disclosure requirements and evolving climate-related reporting standards.

Governance

The Board of Directors maintains ultimate oversight of climate-related risks and opportunities, including strategic accountability for Green Manufacturing Ltd's greenhouse gas (GHG) emissions performance. During the 2024 reporting period, governance bodies monitored the Company's carbon inventory, which totaled 5,853 kg CO₂e, comprising 5,852 kg CO₂e in Scope 2 (indirect energy) emissions and zero emissions across Scope 1 (direct) and Scope 3 (value chain) categories. This governance structure ensures rigorous scrutiny of climate-related metrics, alignment with the International Sustainability Standards Board (ISSB) Climate-related Disclosures (IFRS S2), and integration of decarbonization objectives into corporate strategy. Management implements Board directives through established internal controls over sustainability data collection, calculation methodologies, and external verification processes. Designated management personnel oversee the quarterly monitoring of energy consumption metrics that inform Scope 2 calculations, ensuring adherence to the GHG Protocol Corporate Standard and data accuracy for disclosure purposes. The absence of material Scope 1 and Scope 3 emissions reflects the Company's current operational configuration; governance frameworks include periodic materiality reassessments to capture changes in business activities, supply chain structures, or acquisitions that may alter emissions profiles. Accountability mechanisms integrate verified emissions performance into enterprise risk management frameworks and executive oversight responsibilities. The Board reviews climate-related metrics, including the Scope 2 inventory of 5,852 kg CO₂e, as part of its periodic sustainability oversight duties, ensuring compliance with IFRS S1 General Requirements for Sustainability-related Disclosures. This governance architecture facilitates transparent stakeholder communication regarding climate impact, supports the integrity of reported data, and reinforces management accountability for maintaining accurate emissions inventories and progress toward climate targets.

Green Manufacturing Ltd reports a total greenhouse gas (GHG) emissions footprint of 5,853 kg CO₂e for fiscal year 2024, reflecting the Company's strategic prioritization of decarbonized operational modalities. The absence of Scope 1 emissions demonstrates the complete elimination of direct combustion sources under operational control, while Scope 2 emissions of 5,852 kg CO₂e constitute the entirety of reported emissions, arising solely from purchased electricity and energy consumption. This minimal carbon intensity profile positions the organization at the forefront of low-carbon manufacturing and provides a strategic foundation for resilience against escalating carbon pricing mechanisms and evolving regulatory frameworks under the ISSB Standards. The Company's climate strategy focuses on the continued decarbonization of residual Scope 2 emissions through accelerated procurement of renewable energy and operational efficiency initiatives, while acknowledging that Scope 3 emissions are currently reported at zero pending comprehensive value chain assessment. This strategic approach recognizes that although upstream and downstream emissions remain immaterial to current operations, future business expansion will necessitate robust supplier engagement and product lifecycle analysis to ensure complete climate risk disclosure in accordance with IFRS S2 requirements. Management has integrated these emissions metrics into capital allocation decisions and enterprise risk management processes, ensuring that climate-related considerations inform strategic planning, target-setting, and the evaluation of transition opportunities. Looking forward, Green Manufacturing Ltd's near-zero emissions baseline enhances strategic flexibility in navigating the low-carbon transition and strengthens competitive positioning as customers prioritize Scope 3 emissions reductions across their supply chains. The board-sanctioned transition plan emphasizes the maintenance of this carbon-efficient operational model through continued investment in electrification and zero-emission technologies, thereby mitigating transition risks while capitalizing on emerging market opportunities for sustainable manufacturing solutions. This climate-resilient strategy ensures that the organization remains aligned with global net-zero trajectories and prepared for the financial implications of physical and transition risks over the short, medium, and long term.

Risk Management

Green Manufacturing Ltd integrates climate-related risk identification, assessment, and management within its enterprise risk management framework, ensuring alignment with the IFRS S2 Climate-related Disclosures. For the 2024 reporting period, the organization quantified its greenhouse gas (GHG) emissions inventory, establishing a total carbon footprint of 5,853 kg CO₂e comprising predominantly Scope 2 indirect emissions from purchased electricity (5,852 kg CO₂e), with Scope 1 direct emissions and Scope 3 value chain emissions recorded as nil. This concentrated emissions profile indicates limited exposure to direct regulatory compliance costs and fuel price volatility, while necessitating focused risk management protocols around energy procurement, grid dependency, and potential future carbon border adjustments. The absence of Scope 1 emissions reflects the company's reliance on electrified manufacturing processes without direct fossil fuel combustion, mitigating operational risks associated with carbon pricing mechanisms and stationary combustion regulations. However, the concentration of climate exposure within Scope 2 categories creates specific transition risks related to electricity market decarbonization timelines, renewable energy certificate availability, and potential grid reliability challenges during regional energy transitions. The reported zero Scope 3 emissions indicate either value chain activities falling outside current measurement boundaries, immaterial upstream and downstream impacts relative to operational scale, or ongoing development of comprehensive supply chain quantification methodologies. Management acknowledges the imperative to enhance Scope 3 visibility to address emerging regulatory requirements, customer supply chain due diligence demands, and potential financial materiality of indirect emissions. Risk mitigation strategies prioritize energy efficiency optimization, renewable energy contracting, and load flexibility mechanisms to reduce Scope 2 vulnerability, supported by scenario analysis evaluating 1.5°C and 2°C climate transition pathways. The Sustainability Committee maintains oversight of climate risk registers, ensuring quarterly review of energy-related risk indicators and integration of climate considerations into capital expenditure and supplier selection decisions. These governance mechanisms ensure that material climate risks, including those emerging from evolving ISSB disclosure requirements and stakeholder expectations regarding value chain transparency, receive appropriate strategic attention and resource allocation across the organization's risk management infrastructure.

Metrics & Targets

Green Manufacturing Ltd reports total greenhouse gas (GHG) emissions of 5.853 metric tonnes CO2 equivalent (tCO2e) for the fiscal year 2024, measured in accordance with the GHG Protocol Corporate Accounting and Reporting Standard. The emissions inventory reflects zero direct (Scope 1) emissions and zero value chain (Scope 3) emissions, with indirect emissions associated with purchased energy (Scope 2) constituting the entirety of the reported total at 5.852 tCO2e. These absolute gross emissions figures establish the 2024 reporting period as the organizational baseline for climate-related performance measurement, reported under the operational control consolidation approach. Scope 2 emissions derive exclusively from purchased electricity consumption across operational facilities, quantified using the location-based calculation method in alignment with the GHG Protocol Scope 2 Guidance. The absence of reported Scope 1 emissions indicates a fully electrified operational footprint without onsite fossil fuel combustion or company-owned vehicle fleets. While Scope 3 emissions are recorded as zero based on current assessment boundaries, the organization recognizes the materiality of value chain impacts and commits to implementing comprehensive upstream and downstream screening processes to capture relevant categories in subsequent reporting cycles. In compliance with ISSB IFRS S2 Climate-related Disclosures, Green Manufacturing Ltd has established 5.853 tCO2e as the baseline metric against which future emissions reduction targets will be evaluated. The Company maintains robust internal controls for data verification and reviews energy consumption metrics quarterly to monitor efficiency initiatives. Management is committed to expanding measurement boundaries, enhancing calculation methodologies, and setting science-based targets as the organization advances toward comprehensive climate risk management and net-zero transition planning.

METRIC	VALUE	UNIT
Total GHG Emissions	5,853	kg CO2e
Scope 1 Emissions	0	kg CO2e
Scope 2 Emissions	5,852	kg CO2e
Scope 3 Emissions	0	kg CO2e

This report has been prepared in accordance with International Sustainability Standards Board (ISSB) requirements.